



managers struggle to convince global LPs about a scaleable, sustainable, and repeatable 'exits' playbook. The lack of predictability in executing large-scale exits remains a primary concern for LPs, especially those accustomed to more frequent or much larger liquidity events in other markets. This uncertainty is indeed our Achilles heel.

Reflecting on our history, venture capital investments in India have grown manifold since Blume's birth in 2010, despite the sharp slowdown in 2022 and 2023. Interestingly, this necessitates an equivalent multi-fold increase in the number and size of successful businesses and exits. The LPs' scepticism arises from concerns over the Indian ecosystem's ability to generate these large numbers of bold outcomes. Unicorn spotting

is not enough. Cash returns are the only real, meaningful outcome.

JustDial's \$165-million IPO and RedBus's \$138-million M&A in 2013 were seen as the harbingers of a surge in exit events, but that did not materialise for several years. Then there was Flipkart's acquisition by Walmart, but then nothing happened again for a few more years around strategic M&A. While in the past few years confidence has grown around India's potential to produce a sufficient number of IPO-ready companies, which in turn generates liquidity for LPs, the significant amount of tied-up capital remains a concern for many LPs.

Is there a solution—a surgery—that can fix the Achilles heel? One of the mistakes VCs make is not discussing clear paths with their best companies, boards, and LPs

about how to prepare the companies for liquidity. This lack of transparency in the past has left LPs disenchanted with mere valuation figures, occasional mark-ups due to large funding rounds, or companies achieving unicorn status but with limited cash outcomes.

Increasing transparency significantly helps provide a clear timeline and methodology for exits once a fund crosses five to six years. Having these conversations with all stakeholders will instil greater confidence in LPs regarding the capabilities of Indian VCs. At Blume, we are setting the pace by releasing the full details of our Fund I story of funding made between 2011 and 2014. This level of fund deconstruction in the public domain is perhaps a first globally.

VCs are voting with their wallets, emphasising the burgeoning potential of tech-first business models that leverage urban growth and offer frictionless transactions and services. These tech-driven businesses are best positioned to capture a larger market share of the incremental GDP in the health, education, financial services, media, and commerce sectors.

Additionally, as Indian technology demonstrates capabilities beyond our shores—building software to deep tech products—LPs stand to gain significantly in India by supporting VCs that are indexing allocations on the India engineering opportunity for the country as well as for the world.

Constructing a well-thought-out portfolio and aligning exit outcomes with the reality of the market opportunity and the sophistication of the capital market to provide exits is what we expect LPs to look at deeply. Especially as they double down on thoughtful long-term investments in Indian VCs. **BT**

Views are personal